kotak Institutional Equities

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Kaynes Technology - FY2025 Annual Report analysis

Kaynes Technology's FY2025 Annual Report highlights: 1) significant revenue/profit contribution from the smart metering business, Iskraemeco; 2) ambiguous accounting treatment of goodwill/reserve adjustments under acquisitions; 3) sharp addition in intangibles for technical know-how; 4) a 22-day increase in cash conversion cycle (CCC) and high capex leading to negative FCF; 5) focus on capital allocation strategy amid high capex requirements and pending government grants; 6) complex accounting used for cash capex compared with asset additions; and 7) a lack of consistency in RPT disclosures.

Iskraemeco's high contribution to revenue/profit is noteworthy

Kaynes reported FY2025 revenue of Rs27.2 bn (up 51% yoy; see Exhibit 1), slightly below its Rs28 bn guidance, aided by the consolidation of Iskraemeco's smart metering business for six months (after its acquisition on September 30, 2024, for a consideration of Rs430 mn). Based on the profit reconciliation statement of Kaynes, Iskraemeco has contributed Rs489 mn (44% of the increase in PAT for the year) to FY2025 consolidated PAT (see Exhibit 2). Management, in last month's analyst meet, indicated that most of Iskraemeco's full-year revenues of Rs6.2 bn and Rs489 mn profit accrued after the acquisition in 2HFY25. We note that Iskraemeco reported full-year PAT of Rs6 mn in FY2025 (see Exhibits 3-4). This implies: 1) ~28% net margin in 2HFY25—which looks high for the smart metering business; 2) Rs483 mn loss in 1HFY25 to reconcile with the full-year profit of Rs6 mn; this is in the context of a profitable FY2024 and no evident cost drivers in 1HFY25 for such a swing (see Exhibit 3); and 3) a payback period of less than six months for the Iskraemeco acquisition.

Goodwill recognition/reserve adjustments in acquisitions ambiguous

Kaynes acquired Iskraemeco and Sensonic (54% stake) in FY2025 for a consideration of Rs883 mn, recognizing a goodwill of Rs1,140 mn (see Exhibit 5). We observe that the consolidated balance sheet does not show a corresponding increase in goodwill. Instead, it reflects a net negative adjustment of Rs10 mn, net of capital reserve, alongside a Rs 561 mn rise in general reserves (see Exhibits 6-7). Management clarified that since a major part of the consideration is for a contract that Iskraemeco has entered into, it was recognized as an intangible asset (to be amortized over the term of the contract) and netted off against goodwill. We note: 1) no additions in intangible assets due to contract/customer relationship-related assets (see Exhibit 8); and 2) no corresponding fair value adjustments disclosed on acquisitions (see Exhibit 5). Further, the payment for these acquisitions of Rs725 mn (Rs883 mn less contingent consideration of Rs158 mn) is not shown as cash outflow (see Exhibits 9-10). Management has stated that investments in subsidiaries are eliminated during consolidation, so these payments are not shown in the consolidated cash flow statement.

Quick Numbers

Iskraemeco, acquired for Rs429.8 mn, contributed a net profit of Rs488.7mn to Kaynes' consolidated results for FY2025

Goodwill of Rs1,140 mn pertaining to acquisitions and payment for purchase consideration of Rs725 mn not disclosed evidently

Rs1.8 bn (6.5% of revenue) capitalized as additions in technical know-how, including designs and prototypes

Auditor:
K.P. Rao & Co.

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Significant additions in intangible assets for technical know-how in FY2025

Kaynes capitalized Rs1.8 bn (6.5% of revenue), as additions under technical know-how, including designs and prototypes in FY2025 (see Exhibits 8 and 11-12). Of this, Rs141 mn was R&D expenses (94% of the total R&D expenses). The balance, in our view, likely relates to prototyping costs. Some of this could also be on account of acquisitions; however, their details are not available.

Disclosures for related-party transactions/balances inconsistent

We have observed inconsistencies in the disclosures made by the standalone entity and various subsidiaries on inter-company related transactions for the year and in year-end balances. Iskraemeco's related-party disclosures show 1) purchases of Rs1.8 bn from Kaynes Electronics Manufacturing in FY2025, which are not reflected in Kaynes Electronics Manufacturing's related-party disclosures (see Exhibits 13-14); and 2) year-end payables of Rs3.2 bn to Kaynes Technology and Rs1.8 bn to Kaynes Electronics Manufacturing and receivables of Rs1.9 bn from Kaynes Technology; notably, these too are not reflected in the related-party disclosures of Kaynes Technology and Kaynes Electronics Manufacturing (see Exhibits 15-18). In addition, Iskraemeco's related-party disclosures show almost all current receivables due from the parent, with Rs458 mn of the total receivables being outstanding for over a year (see Exhibit 19).

Rising CCC dents OCF post interest; high capex for OSAT/PCB weighs on FCF

Kaynes' operating cash flow post interest stood negative at Rs0.9 bn in FY2025, primarily due to rising working capital requirements (see Exhibit 20). The consolidated CCC increased by 22 days yoy in FY2025 to 157 days, driven by higher trade receivables at Iskraemeco and Kaynes Electronics Manufacturing (see Exhibit 21-23). On a standalone basis, CCC rose mainly due to advances to subsidiaries—excluding these, the cycle declined yoy (see Exhibit 24). We believe that Iskraemeco's longer cash conversion cycle was partly offset by higher payables (largely relating to related-party transactions with the parent and Kaynes Electronics, based on Iskraemeco's related-party disclosures; see Exhibits 15 and 18). Further, with rising capex requirements for EMS, OSAT and PCB businesses, Kaynes' free cash flow post interest and acquisitions stood negative at Rs10.4 bn.

Elevated capex plans/pending grant timelines may influence funding and capital allocation strategy

Kaynes has significant capex requirements for its OSAT and PCB projects, estimated at Rs33.0 bn and Rs46.8 bn, respectively (see Exhibits 25-26). In the past five years, the company has raised about Rs20 bn (72% of total cash inflows) through equity issuances (primarily deployed for capex) and Rs7.3 bn via debt, primarily in FY2024/FY2025 to support working capital (see Exhibits 27-28). Of the Rs13.7 bn raised through QIP in December 2023, Rs3.8 bn was invested in the OSAT facility and Rs1.5 bn in the PCB facility as of September 30, 2025 (see Exhibit 29). The company has about Rs11.9 bn in cash and equivalents (42% of net worth; FY2024: Rs16.6 bn), generating an average yield (calculated) of 7.4% in FY2025. The company's borrowings—primarily for working capital—stood at Rs8.8 bn (FY2024: Rs3.1 bn), with a calculated average borrowing cost of 17.1% (12% on a closing basis; see Exhibits 30-31), leading to a negative carry. Government grants, expected to cover about 70% of eligible OSAT capex and a significant portion of PCB investments, remain pending. Management has clarified that the Rs429 mn subsidy adjusted against ROU asset in Kaynes Semicon in FY2025 reflects grant received against the land allotted for the entity in Gujarat (see Exhibit 32). Based on our estimates, incremental funding needs could be Rs10.3 bn for OSAT and Rs25.7 bn for PCB, which, according to management, will be met through a mix of unutilized QIP proceeds, debt and internal accruals (see Exhibits 25-26).

Receivable discounting and provisioning could impact profitability/margins

Kaynes has undertaken receivable discounting with banks, with contingent liabilities of Rs1.2 bn (4% of net worth) as of March 2025 (see Exhibit 33). Management has highlighted that these arrangements are with recourse. The impact of discounting on margins and profitability remains a monitorable, particularly given the impending discounting of long-term smart metering receivables of Rs3.3 bn, including Rs0.6 bn discounted in 2QFY26. We also note that provisioning for bad debt has risen in recent quarters (see Exhibit 34). Management has clarified that this is on account of customer-specific credit risks, including delayed payments and indicators of financial stress or potential bankruptcy in a few cases. However, the company continues to engage closely with these customers, with recovery expected on the basis of ongoing discussions and their order continuity.

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Variance in cash flow statement versus asset additions

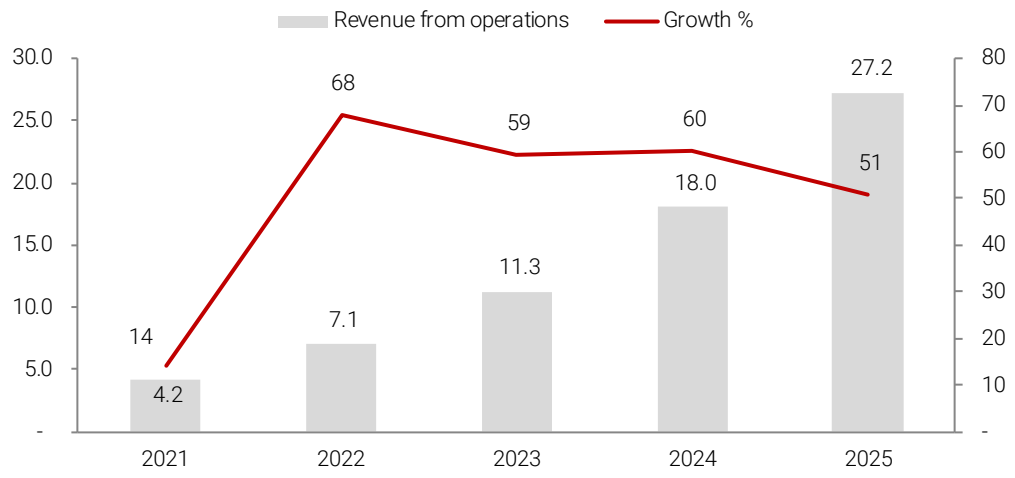
Kaynes' FY2025 cash flow statement reports the purchase of fixed assets of Rs9.5 bn, which does not fully reconcile with the Rs7.7 bn of additions to PPE, CWIP, intangibles and intangible assets under development (ITAUD) after adjusting for capital advances and payables for capital goods (see Exhibits 35-36). Management has highlighted that the amount also includes Rs0.4 bn on account of PPE additions due to acquisitions and Rs1.7 bn of net ROU additions. We are of the view that the Rs0.4 bn on account of PPE additions as a result of acquisitions should ideally be forming a part of the cash outflow for acquisitions, and these amounts should not be shown as capex-related cash outflow. Further, we believe that a part of this amount could be pertaining to Rs2.2 bn gross ROU additions on account of land taken on lease for 99 years by various entities, as reflected in ROU assets (see Exhibit 37).

Contingent liabilities and net FX exposure rise

Contingent liabilities increased to Rs5.2 bn,18% of net worth (FY2024: Rs2.7 bn,11% of net worth). This is primarily due to an increase in bank and corporate guarantees and continuing receivable discounting arrangements (see Exhibit 33). Kaynes' net foreign currency exposure rose to Rs2.0 bn (FY2024: Rs1.6 bn), led by an increase in US dollar-denominated payables (see Exhibit 38).

Revenue growth got bolstered by acquisition of Iskraemeco in 2HFY25

Exhibit 1: Consolidated revenue from operations, March fiscal year-ends, 2021-25 (Rs bn)



Source: Company, Kotak Institutional Equities

Iskraemeco contributed Rs489 mn to Kaynes' consolidated net profit

Exhibit 2: Snapshot of reconciliation of consolidated net profit, March fiscal year-ends, 2024-25 (Rs mn)

Name of the entity in the Company	For the year ended 31 March, 2025		For the year ended 31 March, 2024	
	Share in Profit/(Loss)		Share in Profit/(Loss)	
	As % of consolidated net assets	Amount in ₹ Mn	As % of consolidated net assets	Amount in ₹ Mn
A. Parent company				
Kaynes Technology India Limited	71.53%	2,099.05	68.80%	1,260.98
B. Indian Subsidiariesv				
Kaynes International Design and Manufacturing Private Limited	1.76%	51.71	2.94%	53.87
Kemsys Technologies Private Limited	(0.41%)	(12.00)	(0.19%)	(3.55)
Kanyes Embedded Systems Private Limited	-	-	-	-
Kaynes Electronics Manufacturing Private Limited	17.28%	507.13	28.37%	519.97
Kaynes Semicon Private Limited	(4.02%)	(117.98)	(0.16%)	(2.95)
Kaynes Circuits India Private Limited	(0.87%)	(25.64)	(0.00%)	(0.09)
Kaynes Mechatronics Private Limited	(0.22%)	(6.45)	0.14%	2.55
Iskraemeco India Private Limited	16.65%	488.70	-	-
C. Foreign Subsidiary				
Kaynes Technology Europe GmbH	-	-	(0.08%)	(1.44)
Digicom Electronics Inc.	0.95%	28.00	-	-
Sensonic Group	(5.76%)	(169.00)	-	-
Essnkay Electronics LLC	0.06%	1.68		
D. Consolidated adjustments	3.04%	89.13	0.19%	3.55
	100.00%	**2,934.33**	**100.00%**	**1,832.89**

Source: Company, Kotak Institutional Equities

Iskraemeco's FY2025 net profit stood at Rs6 mn

Exhibit 3: Snapshot of Iskraemeco's P&L statement, March fiscal year-ends, 2024-25 (Rs mn)

Iskraemeco India Private Limited
CIN No: U72909DL2019PTC356071
Standalone Statement of Profit and Loss
(All amounts are in INR Millions, except per equity share data)

Particulars	Note	For the Year Ended March 31, 2025	For the Year Ended March 31, 2024
Income			
Revenue from operations	18	6,178.56	652.78
Other Income	19	8.77	1.52
Total Income (A)		6,187.33	654.30
Expenses			
Cost of materials consumed	20	5,242.87	553.38
Changes in inventories of finished goods and work in progress	21	410.00	(272.00)
Employee Benefit Expenses	22	145.97	110.55
Finance Cost	23	52.88	24.37
Depreciation and amortization expense	24	93.38	19.20
Other Expenses	25	217.19	131.18
Total Expenses (B)		6,162.29	566.68
Profit before exceptional and extraordinary items and tax		25.04	87.62
Exceptional Items		-	-
Profit / (Loss) before tax (A-B)=C		25.04	87.62
Tax Expenses			
Income taxes - Current tax		7.61	-
Deferred tax Charge/ (Credit)		11.56	(14.88)
Total tax expense (D)		19.17	(14.88)
Profit / (Loss) for the year (C - D)=E		5.87	102.50

Source: Company, Kotak Institutional Equities

Iskraemeco's FY2025 net loss stood at Rs0.5 mn, according to Form AOC-1 filed by Kaynes

Exhibit 4: Snapshot of AOC-1 showing details of subsidiaries, March fiscal year-end, 2025 (Rs mn)

Annexure-5

FORM AOC-1

Statement pursuant to first proviso to sub-section (3) of Section 129 of the Companies Act, 2013 read with rule 5 of the Companies (Accounts) Rules, 2014 relating to Subsidiary Companies for the year ended 31 March, 2025

Part A – Subsidiaries

(All amounts are in ₹ Mn, except per equity share data)

Sl No	1	2	3	4	5	6	7	8	9	10	11	12	13
Particulars	Name of the Subsidiary	Reporting period for the subsidiary concerned, if different from the holding Company's reporting period	Reporting currency and Exchange rate as on the last date of the relevant Financial year in the case of foreign subsidiaries	Share Capital	Reserves & Surplus	Total Assets	Total Liabilities	Turnover	Profit before taxation	Provision for taxation	Profit after taxation	Proposed Dividend	% of share-holding
	Kaynes Electronics Manufacturing Private Limited	01 April, 2024 to 31 March, 2025 same as holding company's reporting period		0.10	1,023.89	10,197.64	9,173.65	6,838.66	616.53	109.4	507.13	0	100%
	Iskraemeco India Private Limited	01 April, 2024 to 31 March, 2025 same as holding company's reporting period		429.86	(85.10)	7458.43	7,113.67	6178.56	18.78	19.24	(0.46)		100%

Source: Company, Kotak Institutional Equities

Kaynes reported Rs883 mn purchase consideration for Iskraemeco and Sensonic acquisitions

Exhibit 5: Snapshot of details about business combinations done during the year, March fiscal year-end, 2025 (Rs mn)

Iskraemeco India Private Limited

Component	Acquirees Carrying Amount	Fair Value Adjustments	Purchase Price Allocated
Net Assets	(198.65)	-	(198.65)
Total	**(198.65)**	-	**(198.65)**
Goodwill			(628.51)
Consideration			429.86

Sensonic Group

Component	Acquirees Carrying Amount	Fair Value Adjustments	Purchase Price Allocated
Net Assets	(107.82)	-	(107.82)
Total	**(107.82)**	-	**(107.82)**
Goodwill			(511.18)
Consideration			452.95

Source: Company, Kotak Institutional Equities

Kaynes reported negative adjustment of Rs10 mn in Goodwill in FY2025

Exhibit 6: Snapshot of Goodwill schedule, March fiscal year-end, 2025 (Rs mn)

Goodwill

Particulars	Total
As at 01 April, 2023	**23.44**
Additions during the year	128.25
Write off during the year	-
As at 31 March, 2024	**151.69**
Additions during the year (Net of Capital Reserve)	(10.31)
Write off during the year	-
Balance as at 31 March, 2025	**141.38**

Source: Company, Kotak Institutional Equities

Kaynes reported an increase of Rs561 mn in reserve on account of the acquisition of subsidiaries

Exhibit 7: Snapshot of statement of changes in other equity, March fiscal year-end, 2025 (Rs mn)

B. OTHER EQUITY

For the year ended 31 March, 2025

Particulars	Reserves & Surplus				Other Comprehensive Income		Total Other Equity	Non Controlling Interest	Total
	Securities premium	General Reserve	Retained earnings	Employee stock options outstanding account (ESOP Reserve)	Foreign Currency Translation Reserve	Remeasurement of defined benefit obligations			
Balance as at 01 April, 2024	**19,969.41**	**130.00**	**4,090.98**	**12.74**	**8.12**	**18.46**	**24,229.71**	**15.79**	**24,245.50**
Profit for the period	-	-	2,941.64	-	4.94	-	2,946.58	2.47	2,949.05
On issue of Equity shares	21.28	-	-	-	-	-	21.28	-	21.28
On allotment of ESOPs	3.77	-		(3.77)	-	-	-	-	-
Share based payment expenses	-	-	-	6.34	-	-	6.34	-	6.34
On Acquisition of subsidiaries	-	539.81	-	-	-	-	539.81	21.46	561.27
Other Adjustments	-	-	18.04	-	-	-	18.04	-	18.04
Re-measurement of the net defined benefit liability/asset, net of tax effect	-	-	(9.78)	-	-	9.78	-	-	-
Balance as at 31 March, 2025	**19,994.46**	**669.81**	**7,040.88**	**15.31**	**13.06**	**28.24**	**27,761.76**	**39.72**	**27,801.48**

Source: Company, Kotak Institutional Equities

Kaynes reported additions of Rs1,156 mn in technical know-how in FY2025

Exhibit 8: Snapshot of Kaynes' consolidated intangibles schedule, March fiscal year-end, 2025 (Rs mn)

Particulars			Intangible Assets		Total
			Software	Technical know-how	
Gross Block		**As at 01 April, 2023**	**38.13**	**322.78**	**360.91**
	FY 2023-24	Additions during the year	3.83	39.08	**42.91**
		Deletions during the year / Written off	-	-	**-**
		As at 31 March, 2024	**41.96**	**361.86**	**403.82**
	FY 2024-25	Additions during the year	132.80	1,155.87	**1,288.67**
		Deletions during the year / Written off	-	59.97	**59.97**
		Capitalised	-	-	**-**
		Balance as at 31 March, 2025	**174.76**	**1,457.76**	**1,632.52**

Source: Company, Kotak Institutional Equities

Deferred consideration liability increased in FY2025 on account of acquisition of Iskraemeco and Sensonic

Exhibit 9: Deferred consideration liability, March fiscal year-ends, 2024-25 (Rs mn)

	2024	2025
Deferred consideration payable	45	158
% of net worth	0.2	0.6

Source: Company, Kotak Institutional Equities

Kaynes reported investment in subsidiaries of Rs8 mn in FY2025

Exhibit 10: Snapshot of Kaynes' consolidated cash flow statement, March fiscal year-ends, 2024-25 (Rs mn)

Consolidated Statement of Cash Flows

For the year ended 31 March, 2025

(All amounts are in ₹ Mn, except per equity share data)

Particulars		For the year ended 31 March, 2025	For the year ended 31 March, 2024
A. Cash Flow from Operating Activities			
Net profit before extraordinary items and tax		3,716.24	2,315.69
Adjustments for :			
Intangible assets under development		447.40	251.41
Provision for doubtful debts		193.51	135.19
Lease adjustment		29.44	19.79
Interest on Security Deposit		(5.36)	(2.01)
Gain On Fair Valuation of Securities		(93.96)	(23.95)
Interest expense		1,012.98	533.74
Interest income		(957.23)	(519.52)
Operating profit before working capital changes, extraordinary items		**4,343.02**	**2,710.34**
Adjustments for:			
(Increase)/ decrease in Inventories		(2,660.99)	(1,351.60)
(Increase)/Decrease in Trade receivables		(2,190.08)	(1,420.26)
(Increase)/Decrease in Loans and Advances and other assets		(4,112.67)	(43.55)
Increase/(Decrease) in Trade payable and other liabilities		4,390.31	1,450.67
Increase/(Decrease) in Provisions		51.60	12.62
Cash Generated (used in) / From Operations		**(178.81)**	**1,358.22**
Income tax Received / (Paid)		(644.35)	(481.13)
Net Cash from Operating Activities	**(A)**	**(823.16)**	**877.09**
B. Cash Flow from Investing Activities			
Purchase of fixed assets		(9,487.47)	(3,825.99)
Interest Received		957.23	519.52
Investment in fixed deposits		4,989.93	(10,636.52)
Investment in mutual fund		(14.62)	(1,026.86)
Investment in Subsidiary and others		8.34	(257.94)
Net Cash used in Investing activities	**(B)**	**(3,546.59)**	**(15,227.79)**

Source: Company, Kotak Institutional Equities

Kaynes' capitalized Rs1.8 bn (6.5% of revenue) as additions in technical know-how, including designs and prototypes in FY2025

Exhibit 11: Details of additions in intangible assets and R&D expense capitalized of Kaynes, March fiscal year-ends, 2021-25 (Rs mn)

	2021	2022	2023	2024	2025
a) Total R&D expense	116	112	146	77	149
R&D expense as % of revenue	2.8	1.6	1.3	0.4	0.5
b) Total R&D expense capitalized	104	100	140	68	141
R&D capitalized as % of total expense	89.6	89.5	95.7	89.2	94.2
c) Total additions in intangible assets (including R&D and prototyping expense capitalized)	133	111	139	138	1,767
Total additions in intangible assets as % of revenue	3.2	1.6	1.2	0.8	6.5

Source: Company, Kotak Institutional Equities

Kaynes reported additions of Rs641 mn in technical know-how under development in FY2025

Exhibit 12: Snapshot of Kaynes' consolidated ITAUD schedule, March fiscal year-end, 2024-25 (Rs mn)

Intangible Assets under development

Particulars	Computer Software Under Development	Technical Knowhow (including Designs & Prototypes) Under Development	Total
As at 01 April, 2023	**-**	**142.71**	**142.71**
Additions/Adjustment	30.00	99.28	129.28
Capitalisation of Interest	-	13.25	13.25
Capitalised in FY 2023-24	-	-	-
As at 31 March, 2024	**30.00**	**255.24**	**285.24**
Additions/Adjustment	45.10	641.01	686.11
Capitalisation of Interest	-	-	-
Capitalised in FY 2024-25	(30.00)	(30.20)	(60.20)
Balance as at 31 March, 2025	**45.10**	**866.05**	**911.15**

Source: Company, Kotak Institutional Equities

Iskraemeco's financial statements mention purchase transactions with Kaynes Electronics Manufacturing

Exhibit 13: Snapshot of related-party transactions in Iskraemeco, March fiscal year-ends, 2023-25 (Rs mn)

Name of the related party	Nature of the transaction	For the Year Ended March 31, 2025	For the Year Ended March 31, 2024	For the Year Ended March 31, 2023
	Sale of Materials	0.02	0.03	-
	Legal & Professional Services	-	2.51	-
	Currency Exchange difference	0.03	-	-
Kaynes Technology India Ltd	*Holding Company*			
	Sale of Materials	879.74	-	-
	Purchase of Material	1,625.35	-	-
Kaynes Electronics Mfg. Pvt Ltd	*Fellow Subsidiary*			
	Purchase of Material	1,797.97	-	-
	Purchase of Services	0.01	-	-
Kaynes Mechatronics Private Limite	*Fellow Subsidiary*			
	Purchase of Material	0.43	-	-

Source: Company, Kotak Institutional Equities

Kaynes electronics manufacturing's financial statements does not mention any transaction with Iskraemeco

Exhibit 14: Snapshot of related party transactions in Iskraemeco, March fiscal year-ends, 2024-25 (Rs mn)

Name of the related party	Nature of the transaction	For the year ended March 31, 2025	For the year ended March 31, 2024
Kaynes Technology India Limited			
	Investments	-	-
	Loans and Advances received	9,428.29	1,749.95
	Loans and Advances repaid by	6,971.79	
	Sale of material	1,141.90	390.58
	Purchases	1,604.85	3.54
	Interest on loan advanced	143.19	107.93
	Management services	-	11.28
	Corporate Guarantee received	1,225.00	-
Kaynes Semicon Private Limited			
	Loans and Advances given	19.68	558.18
	Loans and Advances repaid	9.94	-
	Interest on loan	44.68	19.96
	Rent Paid	0.80	-

Source: Company, Kotak Institutional Equities

Mismatch in related-party receivable/payable balances between Iskraemeco and parent entities

Exhibit 15: Kaynes' entity-wise material related-party balances, March fiscal year-end, 2025 (Rs bn)

Kaynes Technology - Standalone	
Kaynes Electronics Manufacturing	
Loans and Advances given to	3.5
Advances given for supply of goods	1.7
Corporate Guarantee given	1.2
Interest on loan advanced	0.1
Iskraemeco India	
Investments	0.4
Corporate Guarantee given	0.7
Kaynes Semicon	
Loans and Advances given to	1.5
Interest on loan advanced	0.1
Kaynes Circuits India	
Loans and Advances given to	0.9
Kaynes Mechatronics	
Loans and Advances given to	0.6
Kaynes International Design & Manufacturing	
Loans and Advances given to	0.3
Corporate Guarantee given	0.2

Kaynes Electronics Manufacturing	
Kaynes Technology - Standalone	
Loans and Advances received	3.5
Advances received for supply of goods	1.7
Corporate Guarantee received	1.2
Interest on loan advanced	0.1
Kaynes Semicon	
Loans and Advances given	0.6
Interest on loan advanced	0.1

Iskraemeco India	
Kaynes Technology - Standalone	
Trade receivables	1.9
Trade payables	3.2
Kaynes Electronics Manufacturing	
Trade payables	1.8

Kaynes Semicon	
Kaynes Technology - Standalone	
Loans and Advances received	1.5
Interest on loan received	0.1
Kaynes Electronics Manufacturing	
Loans and Advances received	0.6
Interest on loan advanced	0.1

Kaynes Circuits India	
Kaynes Technology - Standalone	
Loans and Advances received	0.9

Kaynes Mechatronics	
Kaynes Technology - Standalone	
Loans and Advances received	0.6

Kaynes International Design & Manufacturing	
Kaynes Technology - Standalone	
Loans and Advances received	0.3
Corporate Guarantee received	0.2

Source: Company, Kotak Institutional Equities

Kaynes had multiple related-party balances as of FY2025 year-end

Exhibit 16: Snapshot of related party balances in Kaynes' standalone financial statements, March fiscal year-end, 2024-25 (Rs mn)

Balances with Related Parties other than KMPs

Name of the related party	Nature of the transaction	As at 31 March, 2025	As at 31 March, 2024
Kaynes International Design & Manufacturing Private Limited	Loans and Advances received	327.67	65.16
	Investments	1.50	1.50
	Corporate Guarantee given	180.80	80.40
Kemsys Technologies Private Limited	Loans and Advances	19.67	18.51
	Investments	229.00	229.00
	Interest on loan advanced	9.08	7.60
Kaynes Embedded Systems Private Limited	Loans and Advances given	-	-
	Investments	3.00	3.00
Kaynes Technology Europe GmbH	Investments	9.24	9.24
	Trade payable	-	0.50
Mysore ESDM Cluster	Investments	2.64	2.64
	Loans and Advances	0.68	0.68
Kaynes Technology Inc.	Services Rendered Receivable	13.91	12.48
Kaynes Electronics Manufacturing Private Limited	Investments	0.10	0.10
	Loans and Advances given to	3,504.92	2,247.97
	Advances given for supply of goods	1,662.50	-
	Corporate Guarantee given	1,225.00	-
	Interest on loan advanced	143.19	107.93
	Management services	-	11.28
Kaynes Interconnection Systems India Private Limited	Loans and Advances	-	-
	Trade Payables	-	-
Kaynes Semicon Private Limited	Loans and Advances given to	1,535.72	223.84
	Investments	2.50	2.50
	Interest on loan advanced	105.11	3.19
Kaynes Circuits India Private Limited	Loans and Advances given to	899.84	1.77
	Investments	2.50	2.50
	Interest on loan advanced	12.40	-
Kaynes Mechatronics Private Limited	Investments	0.10	0.10
	Loans and Advances given to	604.47	64.69
	Interest on loan advanced	30.34	-
Digicom Electronics Inc	Investments	199.63	199.63
	Loans and Advances	41.50	49.79
Essnkay Electronics LLC	Investments	100.18	-
Iskraemeco India Private Limited	Investments	429.86	-
	Corporate Guarantee given	700.00	-
Kaynes Holding Pte Ltd	Investments	650.77	-

Source: Company, Kotak Institutional Equities

Kaynes Electronics Manufacturing had certain related-party balances with the parent and fellow subsidiary

Exhibit 17: Snapshot of related-party balances in Kaynes Electronics Manufacturing's financial statements, March fiscal year-end, 2024-25 (Rs mn)

[C.] Balances with Related Parties

Name of the related party	Nature of the transaction	As at March 31, 2025	As at March 31, 2024
Kaynes Technology India Limited			
	Investments	0.10	0.10
	Loans and Advances received	3,504.92	2,247.97
	Advances received for supply of goods	1,662.50	-
	Interest on loan advanced	143.19	107.93
	Management services	-	11.28
	Corporate Guarantee received	1,225.00	
Kaynes Semicon Private Limited			
	Loans and Advances given	567.92	558.18
	Interest on loan advanced	64.64	19.96
	Rent Paid	0.80	

Source: Company, Kotak Institutional Equities

Iskraemeco had certain related-party balances with the parent and other fellow subsidiaries

Exhibit 18: Snapshot of related-party balances in Iskraemeco's financial statements, March fiscal year-end, 2024-25 (Rs mn)

Name of the related party	Nature of the transaction	As at March 31, 2025	As at March 31, 2024	As at April 01, 2023
Iskraemeco Merjenje in upravljanje energije, d.d Slovenia	*Fellow Subsidiary*			
	Inter Company Payables (Advance received against engg sercvices)	-	494.71	271.77
	Trade Receivables	6.08	2.88	0.70
	Trade Payables	124.23	43.26	35.96
	Reimbursement Receivable	-	0.04	0.04
	ECB Loan Taken- Working Capital	-	320.27	299.48
	Interest on ECB Loan Payable	-	16.00	-
Iskraemeco Energy Measurement	*Sister Company*			
	Trade Payables	2.17	2.11	0.13
	Trade Receivables	0.08	0.02	-
Iskraemeco Middle East FZE	*Sister Company*			
	Trade Receivables	0.12	0.12	0.36
	Trade Payables	-	0.02	0.02
Kaynes Technology India Ltd	*Holding Company*			
	Trade Receivables	1,926.81	-	-
	Trade Payables	3,223.90	-	-
	Advances given	-		
Kaynes Electronics Mfg. Pvt Ltd	*Fellow Subsidiary*			
	Trade Receivables	-	-	-
	Trade Payables	1,831.54	-	-
Kaynes Mechatronics Private Limite	*Other Fellow Subsidiary*			
	Trade Receivables	0.09	-	-
	Trade Payables	0.45	-	-

Source: Company, Kotak Institutional Equities

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Iskraemeco has Rs458 mn worth of receivable outstanding for more than one year from the parent company

Exhibit 19: Receivables ageing schedule of Iskraemeco, March fiscal year-end, 2025 (Rs mn)

Undisputed Trade receivables – considered good	As at March 31, 2025	As at March 31, 2024	As at April 01, 2023
Less than 6 months	876.93	(0.01)	147.61
6 months - 1 year	618.09	297.94	82.54
1 -2 years	274.76	231.04	39.46
2 -3 years	149.83	35.63	-
More than 3 years	32.97	-	-
Total	**1,952.59**	**564.60**	**269.61**

Source: Company, Kotak Institutional Equities

Kaynes reported negative free cash flows in the past five years due to high working capital and capex requirements

Exhibit 20: Computation of free cash flows, March fiscal year-ends, 2021-25 (Rs bn)

	2021	2022	2023	2024	2025
PBT	0.1	0.6	1.3	2.3	3.7
Add: Non-cash adjustments	0.1	0.1	0.2	0.4	0.6
Add: Non-operating adjustments	0.2	0.2	0.3	0.0	(0.0)
Less: direct taxes paid	(0.0)	(0.0)	(0.5)	(0.5)	(0.6)
Operating profit before w/cap changes	**0.4**	**1.0**	**1.2**	**2.2**	**3.7**
Inventories	(0.1)	(0.6)	(1.9)	(1.4)	(2.7)
Trade receivables	(0.3)	(0.8)	(0.3)	(1.4)	(2.2)
Trade payables	0.1	0.9	0.9	1.5	4.4
Loans and advances	0.2	(0.3)	(0.3)	(0.0)	(4.1)
Provisions	—	—	—	—	0.1
Cash flow from operations before exceptional Items	**0.3**	**0.2**	**(0.4)**	**0.9**	**(0.8)**
Exceptional Items	—	—	—	—	—
Cash flow from operations	**0.3**	**0.2**	**(0.4)**	**0.9**	**(0.8)**
Less: Net finance cost	(0.2)	(0.2)	(0.3)	(0.0)	(0.1)
Cash generated from operations post interest	**—**	**(0.0)**	**(0.7)**	**0.9**	**(0.9)**
Less: capital expenditure	(0.3)	(0.4)	(0.6)	(3.8)	(9.5)
Free cash flow post interest and acquisitions	**(0.2)**	**(0.5)**	**(1.3)**	**(3.0)**	**(10.4)**

Source: Company, Kotak Institutional Equities

Consolidated cash conversion cycle rose by 22 days yoy in FY2025

Exhibit 21: Kaynes' consolidated cash conversion cycle, March fiscal year-ends, 2024-25 (days)

	2024	2025
a) Inventory	150	156
b) Trade receivables	72	77
c) Long-term trade receivables	—	44
d) Advances to suppliers	13	12
e) Contract asset- unbilled revenue	0	0
f) Advance from customers	2	1
g) Trade payables	99	131
h) Cash conversion cycle (a+b+c+d+e-f-g)	**135**	**157**

Notes:

a) We have computed inventory, short-term and long-term trade receivables, contract assets, and customer advances as days of sales, while advances to suppliers and trade payables are calculated as days of cost of sales.

b) We have computed NWC based on fiscal year-end numbers.

Source: Company, Kotak Institutional Equities

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Iskraemeco's cash conversion cycle remains negative, driven by higher payables in FY2025

Exhibit 22: Iskraemeco's cash conversion cycle, March fiscal year-ends, 2024-25 (days)

	2024	2025
a) Inventory	707	7
b) Trade receivables	316	115
c) Long-term trade receivables	—	193
d) Advances to related parties	—	20
e) Contract asset- unbilled revenue	171	—
f) Advance from customers	358	—
g) Advance from customers- related parties	277	—
h) Trade payables	954	388
i) Cash conversion cycle (a+b+c+d+e-f-g-h)	**(395)**	**(53)**

Notes:

a) We have computed inventory, short-term and long-term trade receivables, contract assets and customer advances as days of sales, while advances to related parties and trade payables are calculated as days of cost of sales.

b) We have computed NWC based on fiscal year-end numbers.

Source: Company, Kotak Institutional Equities

Kaynes Electronic Manufacturing's cash conversion cycle increased by 119 days yoy in FY2025

Exhibit 23: Kaynes Electronics Manufacturing's cash conversion cycle, March fiscal year-ends, 2024-25 (days)

	2024	2025
a) Inventory	54	97
b) Trade receivables	138	226
c) Advances to suppliers	7	6
d) Trade payables	131	141
e) Advance from customers	—	1
f) Cash conversion cycle (a+b+c-d-e)	**68**	**187**

Notes:

a) We have computed inventory, short-term trade receivables and customer advances as days of sales, while trade payables are calculated as days of cost of sales.

b) We have computed NWC based on fiscal year-end numbers.

Source: Company, Kotak Institutional Equities

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Standalone cash conversion cycle (ex-advance to related parties) fell by 30 days yoy in FY2025

Exhibit 24: Kaynes' standalone cash conversion cycle, March fiscal year-ends, 2024-25 (days)

	2024	2025
a) Inventory	189	161
b) Trade receivables	36	95
c) Advances to suppliers	15	9
d) Advances to related parties	104	221
e) Advance from customers	2	1
f) Trade payables	76	132
g) Cash conversion cycle (incl. advances to related parties) (a+b+c+d+e-f)	**267**	**354**
h) Cash conversion cycle (excl. advances to related parties) (a+b+c+e-f)	**163**	**132**

Notes:

a) We have computed inventory, short- trade receivables, and customer advances as days of sales, while advances to suppliers and related parties and trade payables are calculated as days of cost of sales.

b) We have computed NWC based on fiscal year-end numbers.

Source: Company, Kotak Institutional Equities

OSAT facility may require an additional outlay of Rs10.3 bn

Exhibit 25: Estimated capex/subsidy/investments to be made by company toward OSAT facility (Rs bn)

a) Total investment	33.0
b) Total investment elligible for subsidy	27.0
c) Central govt subsidy (50% of b)	13.5
d) State govt subsidy (20% of a)	5.4
e) Balance amount to be invested by company (a-c-d)	14.1
f) Amount invested till Sep'25	3.8
g) Remaining capex amount (e-f)	**10.3**

Notes:

a) We have assumed central govt. subsidy to be 50% and state govt. subsidy to be 20% of Rs27 bn of eligible capex based on management commentary in 4QFY25 earnings call.

Source: Company, Kotak Institutional Equities estimates

PCB facility may require additional outlay of Rs25.7 bn

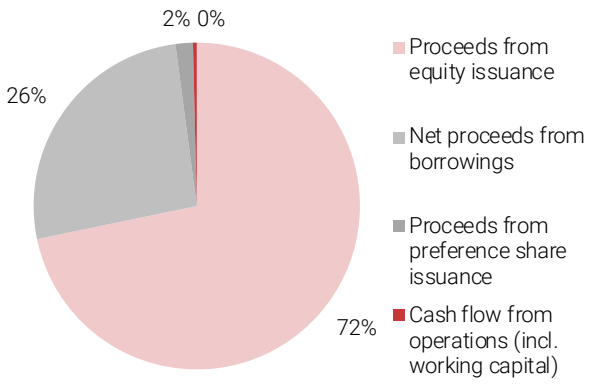
Exhibit 26: Estimated capex/subsidy/investments to be made by company toward PCB facility (Rs bn)

	PCB	HDI	CCL	Camera Module	Total
a) Total investment	14.0	17.9	11.7	3.3	46.8
b) Total investment elligible for subsidy	14.0	17.9	11.7	3.3	46.8
c) Total govt subsidy (45% of b)	6.3	8.0	5.3	—	19.6
d Balance amount to be invested by company (a-c)	7.7	9.8	6.4	3.3	27.2
e) Amount invested till Sep'25	1.5	—	—	—	1.5
f) Remaining capex amount (d-e)	**6.2**	**9.8**	**6.4**	**3.3**	**25.7**

Source: Company, Kotak Institutional Equities estimates

Majority of the company's funds have been raised via equity issuances in the past five years

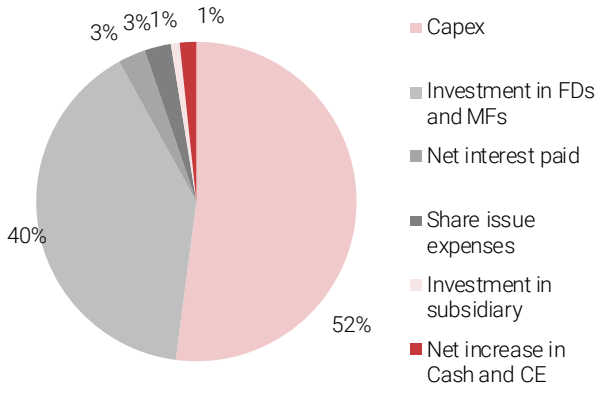
Exhibit 27: Sources of funds, March fiscal year-ends, 2021-25 (%)



Source: Company, Kotak Institutional Equities

Significant funds deployed for capex for expansion into OSAT and PCB segments in the past five years

Exhibit 28: Application of funds, March fiscal year-ends, 2021-25 (%)



Source: Company, Kotak Institutional Equities

Kaynes has raised Rs34.7 bn of funds via IPO/QIPs

Exhibit 29: Details about equity issuances since IPO, November 2022-June 2025 (Rs bn)

Date	Instrument	Description/Objectives/Amount				
Nov-22	IPO	Fresh issuance of 9,028,900 Equity Shares of Rs 10 each at a premium of Rs 577 per share				
		Utilization of funds:	**Amount to be utilized as per prospectus**	**Utilization upto March 31, 2025**	**Total unutilized amount**	**Utilization upto Sep 30, 2025**
		Repayment/prepayment of borrowings	1.3	1.3	–	1.3
		Capex for existing manufacturing facility at Mysuru, Karnataka, and at Manesar, Haryana	1.0	0.6	0.4	1.0
		Investment in Kaynes Electronics Manufacturing for setting up a new facility at Chamarajanagar, Karnataka	1.5	1.5	–	1.5
		Working capital requirements	1.1	1.1	–	1.1
		General corporate purpose	0.4	0.4	–	0.4
		Total	**5.3**	**4.9**	**0.4**	**5.3**
Dec-23	QIP	5,775,577 equity shares issued of face value Rs 10 each at a price of Rs 2,424 per share, including a premium of Rs 2,414 per share				
		Utilization of funds:	**Amount to be utilized as per prospectus**	**Utilization upto March 31, 2025**	**Total unutilized amount**	**Utilization upto Sep 30, 2025**
		Part funding the cost of establishment of the OSAT Facility	7.6	2.3	5.3	3.8
		Part funding the cost of establishment of the PCB Facility	3.1	0.9	2.2	1.5
		General Corporate Purpose	3.1	2.4	0.7	3.1
		Total	**13.7**	**5.5**	**8.2**	**8.4**
Jun-25	QIP	28,72,788 equity shares issued of face value Rs 10 each at a price of Rs 5,569.50 per share, including a premium of Rs 5,559.50 per share				
		Utilization of funds:	**Amount to be utilized as per prospectus**	**Utilization upto June 30, 2025**	**Total unutilized amount**	**Utilization upto Sep 30, 2025**
		Repayment and/or prepayment, whether in whole or in part, of outstanding indebtedness of the company and/or its subsidiaries	8.4	0.8	7.6	8.4
		Funding of working capital requirements	2.0	–	2.0	–
		Funding of inorganic growth opportunities, including but not limited to aacquisitions, strategic investments, and joint ventures	1.6	0.3	1.3	0.5
		General corporate purpose	3.7	0.0	3.7	0.8
		Total	**15.7**	**1.2**	**14.5**	**9.7**

Source: Company, Kotak Institutional Equities

Kaynes' investment yield has risen by 231 bps in the past five years

Exhibit 30: Average investment yield, March fiscal year-ends, 2021-25 (Rs mn, %)

	2021	2022	2023	2024	2025
Interest received on deposits with banks	7	11	98	520	957
Gain On Fair Valuation of Mutual Funds	1	–	–	24	94
Profit on sale of investment	–	–	–	–	7
Total investment income	8	11	98	543	1,058
Total investments	159	231	4,893	16,573	11,887
Average investment yield rate	5.1	5.6	3.8	5.1	7.4

Notes:

a) We have considered cash and bank balances as well as non-trade investments as total investments in this computation.

Source: Company, Kotak Institutional Equities

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Kaynes' borrowed debt in FY2025 to support its working capital requirements

Exhibit 31: Average and closing cost of borrowing, March fiscal year-ends, 2021-25 (Rs mn, %)

	2021	2022	2023	2024	2025
A) Interest on borrowings	214	224	284	559	1,047
B) Reported debt	1,395	1,695	1,359	3,061	8,755
Average borrowing cost %	15.1	14.5	18.6	25.3	17.7
Closing borrowing cost %	15.3	13.2	20.9	18.3	12.0

Notes:

a) We have considered only interest on borrowings reported by company as total cost of borrowings in this computation.

Source: Company, Kotak Institutional Equities

Kaynes Semicon reported reduction of Rs429 mn from ROU assets on account of subsidy received

Exhibit 32: Snapshot of ROU assets schedule of Kaynes Semicon, March fiscal year-ends, 2024-25 (Rs mn)

Rights-of-Use Assets

(INR in millions)

Particulars	As at March 31, 2025	As at March 31, 2024
Balance at the beginning	-	-
Additions during the year	963.26	-
Deletions/ adjustments during the year	-	-
Depreciation during the year	-	-
Less: Subsidy Received	(428.88)	-
Closing Balance	534.38	-

Source: Company, Kotak Institutional Equities

Contingent liabilities stood at 18.3% of net worth as of end-FY2025

Exhibit 33: Contingent liabilities, March fiscal year-ends, 2021-25 (Rs mn)

	2021	2022	2023	2024	2025
Guarantees					
- Bank guarantees for contractual performance	19.7	68.7	68.7	66.7	1,039.8
- Corporate guarantee to subsidiary company	24.0	44.0	84.0	780.4	2,105.8
Tax contingencies					
- Disputed income-tax liability	26.8	15.1	74.5	61.7	89.0
- Disputed indirect taxes demand	—	56.9	51.9	24.0	99.5
Amount in respect of other claims					
- Letter of credit issued by the bank	6.0	3.3	6.2	6.9	0.2
- Bond executed for customs/central Excise/GST	248.2	323.2	450.0	625.0	725.9
- On account of bills discounted with banks set off against trade receivable	171.5	471.0	520.8	1,160.7	1,146.7
- Other sums for which company is contingently liable	11.2	11.2	—	—	—
Total	**507.3**	**993.5**	**1,256.1**	**2,725.4**	**5,206.9**
% of net-worth	**36.6**	**49.0**	**13.1**	**11.0**	**18.3**

Source: Company, Kotak Institutional Equities

Provision for bad debts has increased as a percentage of sales in 1HFY26

Exhibit 34: Amount of provision of bad debts and as % of sales, March fiscal year-ends, 2021-25 and 1HFY26 (Rs mn)

	2021	2022	2023	2024	2025	1HFY26
Bad debts provision made	26	9	15	135	194	552
% of revenue from operations	0.6	0.1	0.1	0.7	0.7	3.5

Source: Company, Kotak Institutional Equities

Kaynes reported cash capex of Rs9.5 bn in FY2025

Exhibit 35: Snapshot of Kaynes' consolidated cash flow statement, March fiscal year-ends, 2024-25 (Rs mn)

Consolidated Statement of Cash Flows

For the year ended 31 March, 2025
(All amounts are in ₹ Mn, except per equity share data)

Particulars		For the year ended 31 March, 2025	For the year ended 31 March, 2024
A. Cash Flow from Operating Activities			
Net profit before extraordinary items and tax		3,716.24	2,315.69
Adjustments for :			
Intangible assets under development		447.40	251.41
Provision for doubtful debts		193.51	135.19
Lease adjustment		29.44	19.79
Interest on Security Deposit		(5.36)	(2.01)
Gain On Fair Valuation of Securities		(93.96)	(23.95)
Interest expense		1,012.98	533.74
Interest income		(957.23)	(519.52)
Operating profit before working capital changes, extraordinary items		**4,343.02**	**2,710.34**
Adjustments for:			
(Increase)/ decrease in Inventories		(2,660.99)	(1,351.60)
(Increase)/Decrease in Trade receivables		(2,190.08)	(1,420.26)
(Increase)/Decrease in Loans and Advances and other assets		(4,112.67)	(43.55)
Increase/(Decrease) in Trade payable and other liabilities		4,390.31	1,450.67
Increase/(Decrease) in Provisions		51.60	12.62
Cash Generated (used in) / From Operations		**(178.81)**	**1,358.22**
Income tax Received / (Paid)		(644.35)	(481.13)
Net Cash from Operating Activities	**(A)**	**(823.16)**	**877.09**
B. Cash Flow from Investing Activities			
Purchase of fixed assets		(9,487.47)	(3,825.99)
Interest Received		957.23	519.52
Investment in fixed deposits		4,989.93	(10,636.52)
Investment in mutual fund		(14.62)	(1,026.86)
Investment in Subsidiary and others		8.34	(257.94)
Net Cash used in Investing activities	**(B)**	**(3,546.59)**	**(15,227.79)**

Source: Company, Kotak Institutional Equities

Kaynes reported an addition of Rs7.7 bn in fixed assets/capital advances/payable for capital goods, as per its asset schedules in FY2025

Exhibit 36: Fixed asset additions and movement in advances/payable for capital goods, March fiscal year-end, 2025 (Rs bn)

Additions in PPE	2.6
Additions in CWIP	2.1
Additions in Intangibles	1.3
Additions in ITAUD	0.6
Increase in capital advances	1.4
Less: Increase in payables - capital goods	(0.4)
Total	**7.7**

Source: Company, Kotak Institutional Equities

Kaynes reported Rs2.2bn of additions in ROU assets in FY2025

Exhibit 37: Snapshot of ROU assets schedule, March fiscal year-end, 2025 (Rs mn)

Rights-of-Use Assets

Particulars	Total
As at 01 April, 2023	**170.90**
Additions during the year	132.82
Deletions/ adjustments during the year	-
Depreciation during the year	(40.59)
As at 31 March, 2024	**263.13**
Additions during the year	2,201.06
Deletions/ adjustments during the year	(34.54)
Depreciation during the year	(66.00)
Less: Subsidy Received	(428.88)
Balance as at 31 March, 2025	**1,934.77**

Source: Company, Kotak Institutional Equities

Majority of Kaynes' forex exposure as of March 2025 year-end was denominated in USD

Exhibit 38: Net forex exposure, March fiscal year-ends, 2024-25 (Rs bn)

	2024				2025			
	USD	EUR	Others	Total	USD	EUR	Others	Total
Financial liabilities								
Trade payables	2.6	0.1	0.1	2.9	3.2	0.1	0.1	3.4
A) Total financial liabilities	**2.6**	**0.1**	**0.1**	**2.9**	**3.2**	**0.1**	**0.1**	**3.4**
Financial assets								
Trade receivables	0.5	0.4	0.1	1.0	0.6	0.4	0.1	1.1
Advance to suppliers	0.3	0.0	0.0	0.3	0.2	0.1	0.0	0.3
B) Total financial assets	**0.7**	**0.4**	**0.1**	**1.3**	**0.8**	**0.5**	**0.1**	**1.5**
C) Net foreign currency exposure (A - B)	**1.9**	**(0.3)**	**0.0**	**1.6**	**2.4**	**(0.4)**	**0.0**	**2.0**

Source: Company, Kotak Institutional Equities

Kaynes reported revenue of Rs27.2 bn and PAT of Rs2.9 bn in FY2025

Exhibit 39: Summary financials of Kaynes Technology India Ltd (consolidated), March fiscal year-ends, 2021-25 (Rs mn)

	2021	2022	2023	2024	2025
Income statement (Rs mn)					
Net revenues	**4,206**	**7,063**	**11,261**	**18,046**	**27,218**
Total operating expenses	(3,786)	(6,126)	(9,578)	(15,505)	(23,111)
EBITDA	**421**	**937**	**1,683**	**2,542**	**4,107**
EBITDA margin %	**10.0**	**13.3**	**14.9**	**14.1**	**15.1**
Depreciation & Amortization	(101)	(132)	(187)	(251)	(447)
EBIT	**320**	**805**	**1,496**	**2,290**	**3,660**
Other income	40	41	114	559	1,070
Interest expense	(252)	(256)	(349)	(534)	(1,013)
PBT	**109**	**590**	**1,260**	**2,316**	**3,716**
Tax expense	11	174	308	483	782
Net profit	**97**	**417**	**952**	**1,833**	**2,934**
Exceptional items					
Reported PAT	**97**	**417**	**952**	**1,833**	**2,934**
Recurring EPS	**1.5**	**6.5**	**14.9**	**29**	**46**
Balance sheet (Rs mn)					
Shareholders' funds	**1,387**	**2,026**	**9,590**	**24,869**	**28,403**
Share capital	79	465	581	639	641
Reserves & surplus	1,308	1,560	9,009	24,230	27,762
Debt	1,395	1,695	1,359	3,061	8,755
Deferred tax liabilities	52	68	77	102	130
Minority interest and other liabilities	105	216	218	207	384
Total sources of funds	**2,939**	**4,005**	**11,244**	**28,239**	**37,671**
Net block					
CWIP					
Net fixed assets	659	864	1,587	4,091	9,982
Net working capital (ex-cash)	1,795	2,429	4,505	6,198	7,528
Investments	342	496	293	2,694	9,598
Cash and bank balances and current investments	143	216	4,860	15,256	10,563
Total application of funds	**2,939**	**4,005**	**11,244**	**28,239**	**37,671**

Source: Company, Kotak Institutional Equities

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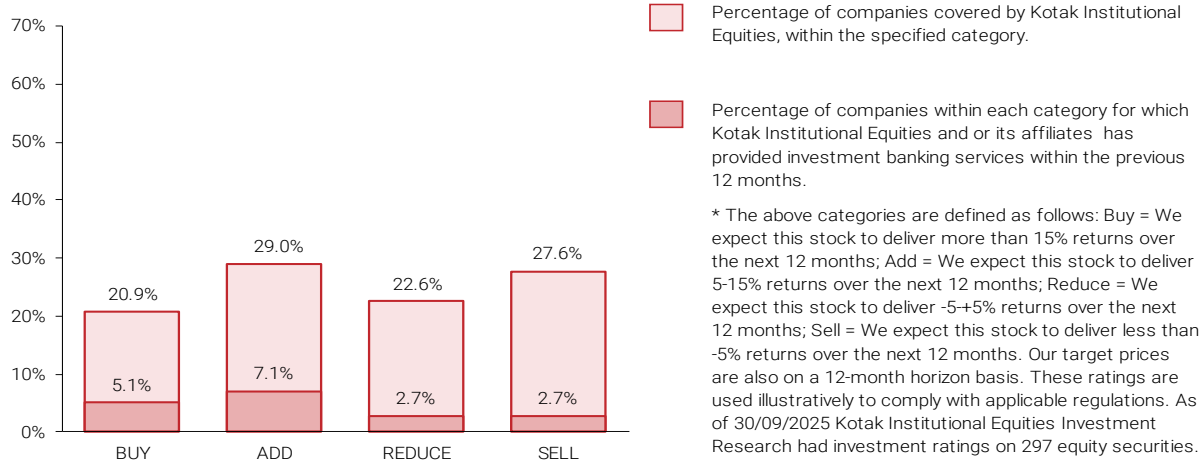

Source: Kotak Institutional Equities

As of September 30, 2025

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